

After I bought, the stock cooperated, though, helped by traders returning to a bull market. The stock climbed to 5 and then turned right. It retraced back to a low of 3.20 in July 2009, and peaked at 7.25 in the spring of 2010 (which would have been a wonderful time to sell). After that, the stock made a dip that dropped the stock in half before bringing it back up.

For the sale, I have two notebook entries, one on the day before the sale: “10 January 2012. Order details: Sell limit order, day, at 5.93. Sell reason: Broker downgraded the stock, and I want to exit the women's apparel stocks. I'm taking the profit with a market order at the open tomorrow. This is trading near the yearly high, and it's a good time to exit. I expect a downward breakout from the ascending triangle. Since this is so thinly traded, I'm hoping I can get a good fill but doubt it. I changed the market order to a limit order near the day's open today (Tuesday).”

The ascending triangle started in May 2011 and lasted to January 2012, about a week after I sold, with an upward breakout. That's a hint that I sold too soon.

Here's my notebook for the day I sold: “Sell reason: Fundamentals, weakness. If the prediction is right that the market will drop in March, I am liquidating my stocks that show gains and are looking to drop. This recently peaked, but I don't like the industry (women's apparel) and a broker downgraded the stock.”

I sold near the bottom touch of the triangle, almost 3 months before the stock peaked at 7.88. After that, it was a steady drop to 2.00 in December (a 75% decline).

My instincts on this trade were good, helped by the ending of the bear market where almost anything you buy soars. I bought in late, left early, and made 86%. Annualized, that's a gain of 31% a year, which is wonderful, too.

- Lesson: The end of a bear market provides wonderful opportunities for stocks to recover. All you need is the courage and the cash to buy. I bought in late, left early, and almost doubled my money.